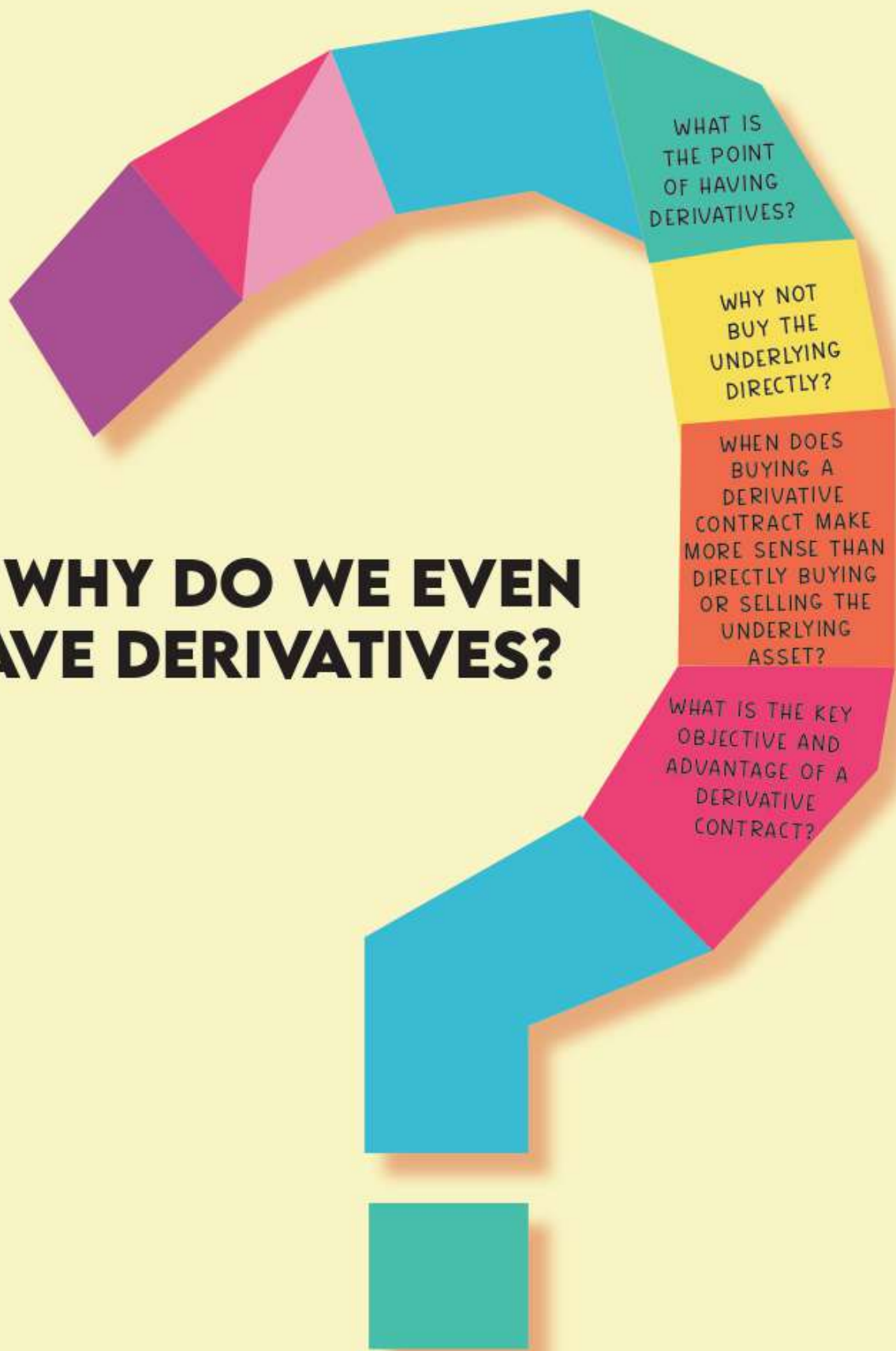


1.3 WHY DO WE EVEN HAVE DERIVATIVES?



To answer the above questions, let us understand the difference between buying an asset through the spot market against buying the asset through a derivative contract i.e. Forward contract.